

Germany: Industry pain likely to further fuel AfD

送信者: EG Europe 受信日時: 2026-10-01 00:09

【メール原文】

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Germany will likely undergo a painful industrial restructuring rather than conventional deindustrialization, as the economy benefits from fiscal expansion, rotation into new sectors, and productivity gains.

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The political damage will exceed the macroeconomic impact, as the adjustment falls on the auto and energy-intensive sectors central to the western industrial heartlands, where the far-right AfD and left-wing populists are likely to make significant gains in the 2027 state elections.

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Growth will remain sub-par into the 2030s amid key structural weaknesses, while Berlin will aim to cushion the impact through energy subsidies and more protectionist measures to counter China's aggressive trade practices.

The deindustrialization narrative underestimates offsets. Industry will likely end the decade smaller in headcount but close to its current 18% share of GDP if restructuring, state-led investment, and growth in aerospace, defense, clean tech, and medical technology deliver as expected. The defense sector alone holds a €130 billion order book against €31 billion of annual revenue. For now, clean technology is attracting the fastest investment, led by Siemens Energy, Nordex, and Thyssenkrupp. Suppliers with the balance sheet to convert are doing so: Bosch is moving into semiconductors while cutting 22,000 jobs in more traditional sectors.

German industry will keep cutting jobs through 2027 even as its output stabilizes. Manufacturing has shed around 650,000 jobs (1.5% of total employment) since 2019, and another 150,000 to 200,000 will likely go by the end of 2027 at the current pace. The losses are concentrated in sectors facing intense Chinese competition: metal products, automotive, and machinery employment are down 142,000, 135,000, and 93,000, respectively, since 2019. That said, 2026 growth is holding up better than expected, at 1.2%-1.4%, with strong exports benefiting from the AI and defense investment booms, but it is expected to slow to below 1% by 2028. Half of this year's growth is government consumption.

Industry is becoming less labor-intensive, but the overall unemployment rate is unlikely to increase. Real manufacturing output per worker has risen 5% since 2019, while its headcount has fallen. The industrial workforce will shrink without pushing unemployment much higher, as demographics and continued fiscally funded hiring in public services will hold it near current levels absent an industrial collapse. However, any meaningful improvement in growth will have to come from consumption and services.

The AfD will likely gain in elections held in 2027 in Germany's industrial heartland. The Alternative for Germany (AfD) polls at 17%-23% in the states voting in 2027 (see chart below). Its strongholds remain the poorer east, but it now also polls at all-time highs in industrial western states holding much of the exposed industry. If the labor market impact from the industry's shock accelerates significantly and displaced workers lose faith in centrist parties, both the AfD and the hard-left Die Linke could grow further. Elections in North Rhine-Westphalia on 25 April will likely affect the upcoming leadership race within the CDU. A robust result there could make Hendrik Wüst, who leads the North Rhine-Westphalia state government, the clear frontrunner to succeed Chancellor Friedrich Merz.

Berlin is now more likely to embrace protectionism as key industries have become more hawkish toward China. German carmakers' sales in China plummeted 25% in the first half of 2026, the trade deficit with China hit a record €105 billion, and Chinese competition has cost German manufacturing around 1% of GDP since 2018 (see chart below). Some 80% of that loss occurred within China and non-EU markets, so EU import tariffs would be only a partial remedy. China's aggressive and uncompromising trade policies have led key German industries to embrace a more protectionist approach to Beijing. Germany is now expected to agree to tougher EU policies against China at the European Council in October. That said, only limited near-term policy-induced relief is on the horizon, as Beijing will not fundamentally change its export model and most EU policies in this regard will come into effect only in 2028 or later (see: Global pushback won't substantially slow China's export growth, 22 September 2026).

The pension reform Merz has tied his chancellorship to makes personnel reductions harder and costlier for ailing industries. Volkswagen and Bosch are cutting more than 20,000 posts each largely through early retirements, bridging workers to the earliest state pension. Raising the earliest pension age to 64 from 63 and ending the penalty-free pension after 45 contribution years lengthens that bridge and raises the top-ups, which could push thin-margin firms toward layoffs. The Social Democrats and eastern Christian Democratic premiers oppose the change, but we expect passage with a compromise (see: Merz temporarily safe after repeat CDU election defeats, 21 September 2026).

Berlin will keep paying for energy subsidies to cushion the growth hit from elevated energy prices. Electricity relief reached €30 billion this year, bringing industrial power prices to the EU average, though wholesale prices remain more than double their 2019 level, and the government will likely agree on further energy-tax cuts and fuel price caps. We expect baseload power to fall toward €70-€75/MWh only from 2028 (see: Wholesale electricity costs will fall sharply before 2030, 9 July 2026).

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